Bhupinder Pal Singh Bakshi & Anr vs State on 13 September, 2011

Author: V.K. Shali

Bench: V.K. Shali

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*       HIGH COURT OF DELHI AT NEW DELHI

+              Crl.M.A. No. 10772/2011 in
               Bail Appl.No.1413/2009


                                          Date of Decision: 13.9.2011

       BHUPINDER PAL SINGH BAKSHI & ANR ..... Petitioners
                    Through: Mr. Sarat Chandra and Mr.
                             Sachin Chandra, Advocate
                             for the applicant.
                    versus

       STATE                                    ..... Respondent
                             Through: Mr.Navin Sharma, APP

CORAM:
HON'BLE MR. JUSTICE V.K. SHALI

     1. Whether Reporters of local papers may be
        allowed to see the judgment ?
     2. To be referred to the Reporter or not ?
     3. Whether the judgment should be reported
        in the Digest ?

V.K. SHALI, J.(Oral)
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Crl.M.A.No.10772/2011

1. This is an application bearing No.10772/2011 filed u/s 482 Cr.P.C. seeking release of the amount settled between the parties on 26.12.2009 through mediation. The amount is lying deposited in this Court.

2. I have heard the learned counsel for the petitioner and perused the record. This was a bail application filed by two persons, namely, Bhupender Pal Singh Bakshi and Gurkaran Singh Bakshi. The allegations against the petitioners are that they are Managing Director and Director respectively of M/s Pavi Overseas Pvt. Ltd. and a sister concern of which viz. Kanak Dhara floated a scheme, according to which investments were invited from the members of the public on promise of huge amount of returns. One of the scheme promised returns which were to double the money invested

with the passage of each month. For example on an investment of Rs.71,480/-, the investor was promised a return of Rs.1,76,00,000/- over a period of one year. On the basis of these representations FIR No.156/2008 u/s 420/120B IPC r/w Section 3,4,5,6 of The Prize Chits and Money Circulation Schemes (Banning) Act, 1978, came to be registered by Economic Offences Wing of Delhi Police. While considering the question of grant of bail to the petitioners, they had deposited certain amount of money with the Registrar General of this Court as they had made representations that they are prepared to settle the claim of the investors. During the pendency of the bail application also it seems that the matter was referred to the Mediation Centre in order to work out a settlement between the petitioners and the investors. The Court after hearing the matter came to the conclusion that the petitioners are not entitled to grant of bail but with regard to the application filed by the various groups of claimants for the release of the amount which was lying deposited with the Registrar General of this Court, it was observed that the same would continue to remain deposited and it shall be disbursed in terms of the orders passed by the Court of competent jurisdiction. It was also observed that the amount shall be kept in a Fixed Deposit for a period of one year and shall be renewed after expiry of the said period, successively. The present application is filed for the release of an amount of Rs.2,98,000/- each to a group of nine investors from the amount which is lying deposited with the learned Registrar General of this Court.

3. I have heard the learned counsel for the applicant.

4. It was contended by the learned counsel for the applicant that they have actually filed this application for release of the amount in terms of the settlement having been arrived at between them and the petitioners before the Delhi High Court Mediation and Conciliation Centre. However, learned Addl. Sessions Judge passed an order on 11.02.2011 directing the parties to approach the High Court or any other competent Court for the release of the said amount. It is in this background that the present application has been filed by the applicant.

5. I have considered the submissions made by the learned counsel for the applicant and have also gone through the various orders including the order passed by the learned Addl. Sessions Judge. The Learned Single Judge of this Court vide order dated 29.04.2010 has specifically directed that the amount which is lying with the Registrar General of this Court shall be disbursed to such of the parties on the directions of the competent Court. The competent Court, in my view, would be the Court where the trial in respect of the FIR in question is pending or is competent to hold or alternatively appropriate civil Court. Admittedly, Learned Single Judge of this Court in his order dated 29.04.2010 has observed that the tentacles of cheating and fraud which has been committed by the petitioners has great ramifications. It has been prima facie assessed to the extent of Rs.120 crores. If that be the financial implication of the amount cheated then obviously there must be thousands of investors whose investment must have been blocked and the Court cannot be a party to a situation where the investors who are not aware of the proceedings against the present petitioners are put to a difficult position of not getting even a single penny in comparison to persons who are aware of the proceedings and the deposit made by the petitioners in the High Court and thereby approach the High Court for release of the money. This is notwithstanding the fact that the petitioners have arrived at a settlement with the applicants who are stated to be nine in numbers. In case a settlement had been arrived at between the petitioners and the applicants it is open to the

applicants to recover the money from the petitioners from the amount other than that which has been deposited in the Registry of the High Court. So far as the amount which has been deposited with the Registrar General of this Court, is concerned, that cannot be released on the prayer of the petitioners because it has become the case property and it is the duty of the Court to ensure that all the investors who are alleged to have invested the money with the petitioner's company are able to, proportionately, recover their investments.

6. Accordingly, I feel that the application for release of the amount deposited with the Registrar General of this Court is totally misconceived. The same is accordingly dismissed and the applicants or petitioners are free to take such appropriate steps in terms of the order dated 29.04.2010 as may be deemed fit. Expression of any opinion hereinbefore is only a prima facie view of the matter and shall not be considered as an expression on the merits of the case.

7. Dismissed.

V.K. SHALI, J SEPTEMBER 13, 2011 mr